Fly GACA — Investor Risk Memo & Diligence Checklist

SECTION 02-legal TYPE memo STATUS active OWNER Founder UPDATED 2026-08-19

> A skeptical outside-investor view of Fly GACA, written to be argued with. **Not legal, financial, or investment advice.** It is a founder's-eye risk inventory and a diligence punch-list — the questions a hard-nosed investor would ask before writing a cheque, and the proof points that would move the answer from "pass" to "yes".
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> **Date:** 2026-05-30 · **Stage assessed:** pre-revenue, pre-entity, product largely built (see `roadmap.md`) · **Status:** living document — update as risks are retired.

One-page summary

Fly GACA is a deep, polished, single-founder product solving a real problem (Saudi civil aviation regulation is scattered and hard to study). The build is far ahead of the business. The reasons an investor hesitates are **not** about product quality — they are about **market size, unresolved legal/brand risk, dependence on GACA, key-person risk, and the total absence of revenue validation.**

Verdict in one line: a genuinely good product wrapped around an unproven, capped market and a stack of unresolved legal/dependency risks — fundable *after* the legal all-clear and real proof of demand, not before.

#	Risk	Severity	Likelihood	Status
R1	Brand/name ("Fly GACA") may be unregistrable / passing-off exposure	**Critical**	Medium–High	Open (awaiting lawyer)
R2	Corpus rehosting rights unconfirmed	**Critical**	Low–Medium	Open (awaiting lawyer)
R3	Small, single-country, single-regulator TAM	**High**	High (structural)	Unquantified
R4	Dependence on / threat from GACA itself	**High**	Medium	Unmitigated (no relationship)
R5	Solo founder / bus factor of one	**High**	—	Acknowledged, unmitigated
R6	No revenue validation; monetization built but untested	**High**	—	Open (Phase 5 in progress)

#	Risk	Severity	Likelihood	Status
R7	AI accuracy/liability in a safety-critical domain	Medium–High	Medium	Partial (guards, thin evals)
R8	PDPL / data-residency compliance burden	Medium	—	Open (DPIA not done)
R9	Thin/commoditizing moat	Medium	Medium	Structural
R10	Content-freshness treadmill (AIRAC 28-day cycle)	Medium	High (ongoing)	Manual, founder-bound

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Risks in detail

R1 — The brand rests on a name you may not be allowed to own *(Critical)*

`phase0.md` P0-2 already concludes "Fly GACA" may be **unregistrable** at SAIP and carries **passing-off / misrepresentation** exposure because it leans on a government authority's identity; a disclaimer is "necessary but not sufficient." All SEO, domain equity, and marketing spend compound into a brand that may need a post-launch rebrand or attract a cease-and-desist. **This is the single biggest reason to wait.** *Mitigation:* lawyer opinion in hand; decide keep / tagline-only / rebrand **before** public launch; have "Captain Adel" ready as a brand that survives a rebrand.

R2 — The corpus rests on an unconfirmed copyright position *(Critical)*

The product *is* rehosted GACAR/AIP. The "official documents" exclusion is likely favorable but unconfirmed, and the 2026 Copyright Law's implementing regulations are not yet published. An unfavorable answer collapses the product to a "deep-link index," gutting the reader, search, and most RAG value. *Mitigation:* lawyer opinion; ship as deep-link index until cleared (already the plan).

R3 — The market may be too small to justify the build *(High)*

Saudi Arabia has a few thousand active pilots/cadets — not hundreds of thousands. The price card was re-cut on 2026-08-19 to **SAR 79/mo · 649/yr** for Pro, and that barely moves this risk: annual, which is the plan the product actually pushes, went from ~588 to 649/yr, so **the binding constraint is the number of buyers, not the price per buyer.** On a few thousand addressable pilots and cadets, even an aggressive 20% capture of 3,000 is ~600 subscribers, ≈ **SAR 390k/yr** — and the B2B line, now sold as annual packages of SAR 12,000 (Cohort) to 39,000 (Academy) rather than per seat, adds a countable handful of academies on top, not a long tail. Single-country, single-regulator; every new market (UAE GCAA, etc.) is a corpus rebuild, not a copy-paste. Plausibly a good **cashflow/lifestyle business**, harder to see a **venture-scale** outcome.

The re-cut does add a second-order risk of its own: at **SAR 79/mo** the monthly plan now sits *above* the Saudi consumer-subscription corridor and is deliberately anchored to a professional tool rather than a study app. That is defensible against a SAR 120,000 CPL, but it is an assertion about willingness to pay that no Saudi cadet has yet tested with a card — see the diligence item below. *Mitigation:* a credible bottoms-up TAM (below); honest framing of the financing type.

R4 — You depend on, and are most threatened by, the same body *(High)*

GACA could ship its own free official app, endorse a competitor, change the regulation format, or object to the name — any one is potentially fatal. You sit adjacent to a government monopoly with no endorsement and a borrowed name. *Mitigation:* secure at minimum a documented non-objection; ideally a pilot/partnership.

R5 — Bus factor of one *(High)*

"Captain Adel" is the founder. The roadmap itself flags solo-founder load. No team, no redundancy, no continuity plan. The 1:1 Consult line — which sold founder hours directly — was retired on 2026-08-19, so no revenue line now depends on founder availability; but the corpus-freshness and content-authoring paths still run through one person. *Mitigation:* co-founder or first hire; remove the founder from the content-freshness path.

R6 — Enormous build, zero market validation *(High)*

11 phases shipped, and Phase 5 (money) is now in progress — the billing machinery is built and priced, but checkout has never been open: no legal entity to accept payment, and the paywall flip is still pending. Prices are "decided" but never tested on a paying customer. Scarce solo-founder time was spent building before selling. *Mitigation:* pre-sell before finishing the paywall — LOIs / pre-paid subscriptions.

R7 — AI in a safety-critical domain is a liability vector *(Medium–High)*

Captain Adel gives regulatory/currency/minima guidance. Citations + disclaimers reduce but don't remove the risk of a confidently-wrong answer a pilot relies on. The eval harness is ~17 cases — thin for a compliance assistant. *Mitigation:* expand evals substantially; track groundedness; keep refuse-don't-guess behavior; legal review of disclaimer sufficiency.

R8 — PDPL / data-residency burden *(Medium)*

Personal data must stay in-Kingdom; the DPIA is a hard gate (Phase 3) not yet done. Cloud Run and Cloud SQL both sit in `me-central2` (Dammam), so the application and database are in-Kingdom — but **Captain Adel calls the Gemini API, whose processing region is not established**, and chat queries are personal data. That, not the retired VPS, is the live compliance tripwire. *Mitigation:* complete the DPIA; establish and document the Gemini processing region and its transfer mechanism before the privacy notice is published.

R9 — The moat is thinner than claimed *(Medium)*

"Only platform on GACAR + cited AI" — but the corpus is public and scrapable, and LLM+RAG over public docs is commoditizing. The durable moats (brand, distribution, official endorsement) are exactly what's missing/at-risk today. *Mitigation:* convert head-start into distribution and/or endorsement before a funded competitor or GACA replicates it.

R10 — Content-freshness treadmill *(Medium, ongoing)*

AIP changes every 28-day AIRAC cycle; GACAR amends regularly. Stale content in a compliance product is worse than none — and the refresh burden lands on one person and grows with each prep pack. *Mitigation:* semi-automate ingestion/freshness; staffing plan for upkeep.

Scalability notes

- **Tech scales; the business model is the constraint.** A React/Vite SPA on static hosting with a single Express service on Cloud Run (`me-central2`, Dammam) over Cloud SQL Postgres is comfortably sized for realistic load. The non-scaling part is the manually-maintained corpus and prep-pack content.
- **No geographic leverage** — corpus, tools, and AI grounding are Saudi-specific.
- **B2B concentration, now with a fixed ceiling per logo** — only a handful of Saudi flight schools, so a few logos = most revenue; and because Schools is priced as annual packages (12,000 / 39,000 / from 72,000) rather than per seat, revenue per school is a step function. Growth inside an account happens only when it crosses a band, not as cadets are added. Long, relationship-driven sales cycles with no sales motion or entity yet.
- **Best scalable line (subscriptions)** targets the smallest audience; the per-buyer-rich line (one-time packs) is capped by how much content one person can author.

Diligence checklist — what would move "pass" → "term sheet"

A. Legal / existential (highest priority)

- ☐ Written Saudi IP-lawyer opinion on the **name** (keep / tagline / rebrand)
- ☐ Written opinion on **corpus rehosting** rights (host vs. deep-link)
- ☐ Documented **GACA position** — at minimum a non-objection; ideally a partnership/endorsement path
- ☐ Disclaimer sufficiency reviewed against misrepresentation/passing-off exposure
- ☐ AI-corpus position confirmed under the 2026 law + its implementing regulations

B. Market & demand (prove people pay)

- ☐ Bottoms-up TAM: count of Saudi pilots + cadets + flight schools, with sources
- ☐ Realistic capture model → revenue ceiling; honest venture-vs-cashflow framing
- ☐ 2–3 signed **flight-school LOIs** — committing to a **named annual package** (Cohort at SAR 12,000 or Academy at 39,000), not to a seat count
- ☐ ≥ N pre-sold annual subscriptions or paid pilots (sell before finishing the paywall)
- ☐ Evidence willingness-to-pay at **SAR 79/mo and SAR 649/yr** — the annual is the number that matters, since >60% of new Pro subscriptions are targeted to land there (interviews, landing-

page conversion, pre-orders)

C. Team & continuity

- ☐ Co-founder or first hire identified; equity/role plan
- ☐ Key-person mitigation — founder removed from the content-freshness critical path
- ☐ Continuity plan if the founder is unavailable

D. Product / liability / compliance

- ☐ Expanded Captain Adel eval set (well beyond ~17 cases) with a published accuracy/groundedness bar
- ☐ PDPL DPIA completed and signed off; controller registered/appointed
- ☐ Content-freshness process (AIRAC re-ingestion) documented and semi-automated

E. Operating readiness

- ☐ Legal entity registered (P0-3); business bank account open
- ☐ Payment gateway + ZATCA VAT / Fatoora path validated
- ☐ Live waitlist capture + a working go-to-market channel with early traction data

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What I'd want to hear in the next meeting

1. The lawyer's verdict on the name and the corpus — in writing.
2. Whether GACA will tolerate, ignore, or partner with you.
3. Proof that a flight school or a pilot will actually pay — a signature, not a survey.

Retire R1, R2, R4, and R6, and this becomes a very different — and fundable — conversation.